

analyst may value one as low as 40 and the other as high as 100. Let us deal briefly with some of the considerations that enter into these divergent multipliers.

1. *General Long-Term Prospects.* No one really knows anything about what will happen in the distant future, but analysts and investors have strong views on the subject just the same. These views are reflected in the substantial differentials between the price/earnings ratios of individual companies and of industry groups. At this point we added in our 1965 edition:

For example, at the end of 1963 the chemical companies in the DJIA were selling at considerably higher multipliers than the oil companies, indicating stronger confidence in the prospects of the former than of the latter. Such distinctions made by the market are often soundly based, but when dictated mainly by past performance they are as likely to be wrong as right.

We shall supply here, in Table 11-3, the 1963 year-end material on the chemical and oil company issues in the DJIA, and carry their earnings to the end of 1970. It will be seen that the chemical companies, despite their high multipliers, made practically no gain in earnings in the period after 1963. The oil companies did much better than the chemicals and about in line with the growth implied in their 1963 multipliers.⁵ Thus our chemical-stock example proved to be one of the cases in which the market multipliers were proven wrong.*